

CREDIT COMMITTEE MEMORANDUM - COVENANT EVENT RECORD

Case ID: PRECEDENT-2014-08

SYNTHETIC DEMONSTRATION DATA - RAISE Summit Hackathon demo. Fictional unless explicitly sourced to SEC EDGAR.

Field	Detail
Borrower	Novaline Chemicals Corp.
Committee date	2014-08-21
Covenant	Total Net Leverage: 4.00x stepping down to 3.75x after 2014-06-30
Measured level	3.88x (Q2 2014)
Event	STEP-DOWN MISSED. Borrower tested against the stale 4.00x threshold; the scheduled step-down to 3.75x had taken effect, producing an unnoticed breach discovered by the agent bank.
Committee decision	FORBEARANCE 60 days, then amendment resetting the step-down schedule; 40 bps fee; covenant headroom reporting added to compliance certificate.
Outcome	Resolved; relationship strain noted by committee.
Source	Synthetic precedent (fictional borrower).
Tags	breach, step-down-trap, forbearance, amendment